crore at constant prices and Rs 1.78 lakh crore at current prices. The GVA of the health and social service sector was therefore counted at Rs 1.92 lakh crore at constant prices and at Rs 2.86 lakh crore at current prices. The health economy was 1.5 per cent in constant terms and 1.67 per cent in current prices.

There is considerable debate in the country and among policymakers about the percentage of GDP and public expenditure that should be spent on health. The National Health Policy, 2017 (NHP-2017), aims to increase health expenditure by government to 2.5 per cent of GDP by 2025.

The National Accounts do not specifically capture national expenditure on health. The GVA of health and social work as available in the statistics is the closest estimate we have.

The World Bank and many other multilaterals use a different definition of health expenditure developed by the WHO as part of the System of Health Accounts (SHS). This classification includes expenditure on healthcare goods and services consumed by people during a year. However, it does not include capital expenditure on buildings, machinery, IT and vaccine stocks. According to this definition, India's healthcare expenditure in 2018 was 3.6 per cent of GDP. It was 4.3 per cent in 2001, declining to 3.2 per cent by 2011, after which it picked up to reach 3.75 per cent in 2013. It has been marginally declining and has been in the range of 3.5 per cent to 3.6 per cent since then.

The Government of India compiles details of health expenditure by the Centre and the states. According to its statistics, estimated government health expenditure, including capital expenditure, in financial year 2016–17 was Rs 1.88 lakh crore, or 1.2 per cent of GDP. The government also estimates the expenditure made by households directly (in addition to the expenditure made by the government). Such expenditure, termed 'Out of Pocket' expenditure, was Rs 3.4 lakh crore in 2016–17, or about 2.2 per cent of GDP. Another separate category of expenditure in government